



Barclays Bank Kenya

Investor Briefing

Nairobi, 1st March 2018

Agenda

01 2017 Operating Environment

02 2017 Financial Results

03 Strategy 2022

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01. 2017 Operating Environment



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Update from the Chairman

Charles Muchene – Chairman, Board of Directors

The operating environment in 2017 was challenging. We adopted accordingly.

Key Headwinds

- 1 Prolonged electioneering period
- 2 Weaker economic performance
2017: 4.8% ▼ | 2016: 5.8%
- 3 Interest rate capping law

Key Tailwinds

- 1 Stable currency
- 2 Low inflation
- 3 Separation from Barclays PLC

Our Responses

- 1 Robust business continuity and resilient plans
- 2 Selectively choosing growth segments
- 3 Refocusing our strategy to remain profitable
- 4 Investment in automation and digitization leading to:
 - ❖ Lower branches
 - ❖ Lower staff headcount
- 5 Setting a new 5-year Strategy focusing on:
 - ❖ Growth, Transformation & Returns

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Update from the Chief Executive

Jeremy Awori – Managing Director and CEO

We have achieved significant strategic progress in line with our commitments in 2013



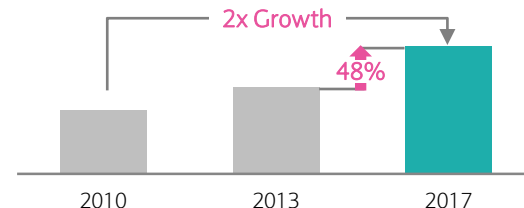
In 2013 we committed to....

1. Drive Balance Sheet growth
2. Establish sustainable revenue growth
3. Leverage automation for simplification & efficiency
4. Invest in new businesses

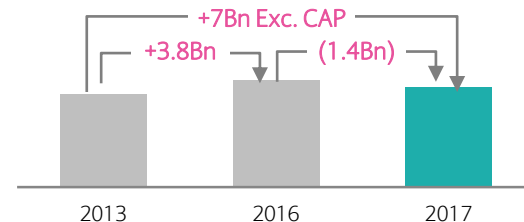


We have achieved considerable progress..

1. Balance Sheet Growth



2. Income Diversification



3. Investments driven Simplification and Automation

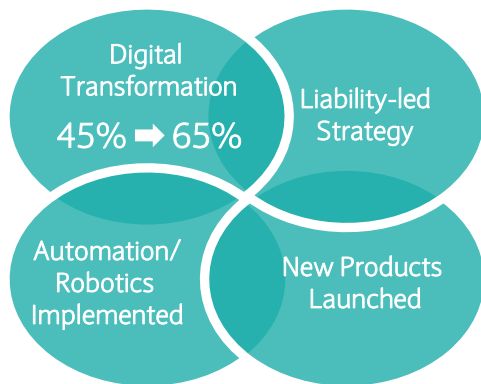
- IT infrastructure transformation
- Replacement of all ATMs
- FTE down 19%

4. New Businesses

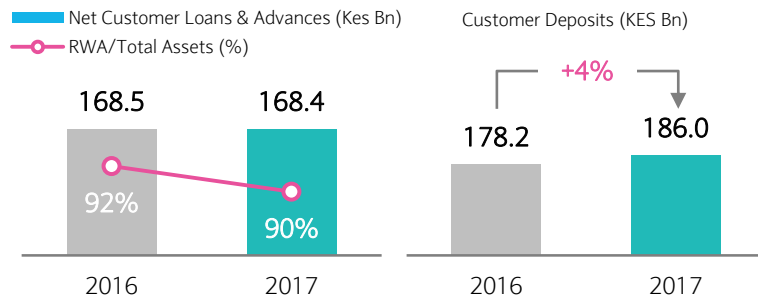
- Established a Business Bank: KES 25Bn Asset Business
- FI Sales & RMP: KES 880Mn Annual Income
- Bancassurance: Approx. KES 500Mn Annual Income
- Stock Brokerage: KES 35Mn Annual Income

Our responses to 2017 challenges were strategic and timely

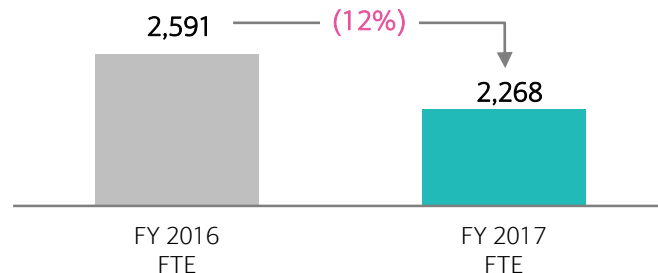
1 We launched new products and made new investments



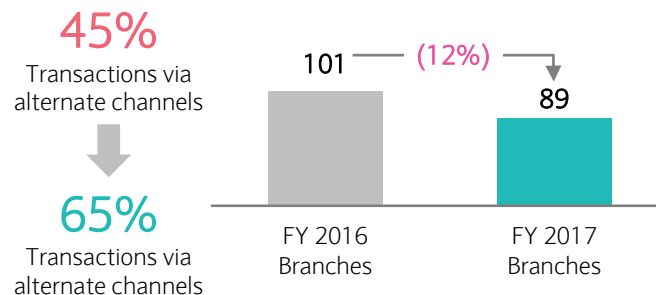
2 We repositioned our Balance Sheet



3 We simplified our organization to be lean and efficient



4 We optimized our physical footprint to fulfill changing customer needs



In 2017, we achieved industry leading recognitions, while staying relevant to our society



Awards and Recognitions

- ❖ **Corporate Bank**
 - Corporate Banker of the Year
 - 1st Runner Up – Best Bank in Trade Finance
 - 2nd Runner Up – Best Bank in Corporate Banking
- ❖ **Markets**
 - Best Investment Bank in East Africa
 - The Innovative Listing of the Year
- ❖ **Business Bank**
 - Overall Best Bank in SME
 - 2nd Runner Up – Best Bank in Asset Finance
 - 2nd Runner Up – Best Bank in Agriculture and Livestock Financing
- ❖ **Retail Bank**
 - 1st Runner Up – Best Bank in Retail Banking
- ❖ **Others**
 - 4 awards at the Financial Reporting (FIRE) Awards
 - CIO 100 Gold Mark for Information Technology Adoption

Citizenship & Sponsorship

- ❖ **Scholarship Fund** provided 471 scholarships to support Education and Skills Development
- ❖ **ReadytoWork** impacted 45,435 youth through partnership with UON, Strathmore, CARE Kenya and Kenya Girl Guides Association
- ❖ **Ajira Training** in conjunction with Ministry of ICT impacted 7,126 youth
- ❖ Sponsorship for **Barclays Kenya Open**

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Yusuf Omari – Chief Finance Officer

Overall financial performance

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	FY 2016	FY 2017	Variance
Income Statement	KES Mn	KES Mn	%
Interest Received	28,121	27,171	(3%)
Interest Paid	(5,787)	(5,370)	(7%)
Net Interest Income	22,334	21,801	(2%)
Non Interest Income	9,350	8,457	(10%)
Total Income	31,684	30,259	(4%)
Costs	(16,904)	(16,782)	(1%)
Impairment	(3,927)	(3,115)	(21%)
Profit Before Tax	10,852	10,361	(5%)
Taxation	(3,453)	(3,435)	(1%)
Profit After Tax	7,399	6,926	(6%)
Balance Sheet	KES Mn	KES Mn	%
Net Customer Loans and Advances	168,509	168,397	0%
Customer Deposits	178,179	185,977	4%

Income: Impact of rate cap on net interest income, focusing on revenue diversification is key to build revenue momentum

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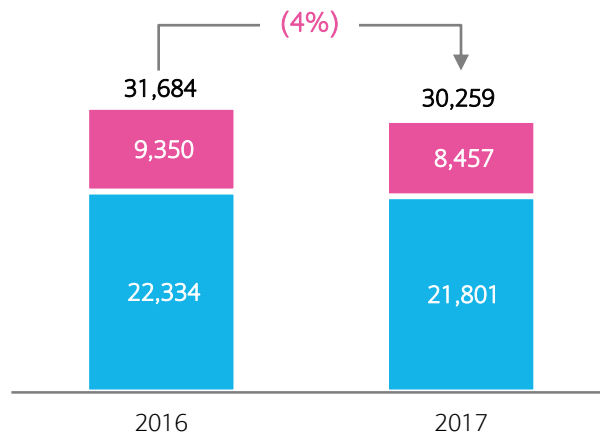
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Income

(In KES Millions unless stated otherwise)

■ NII ■ NFI

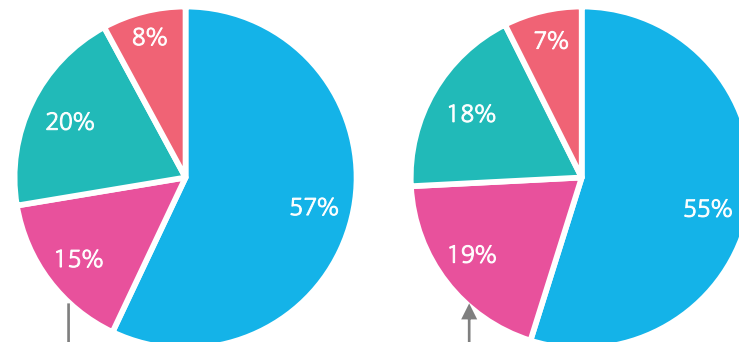


Key Performance Metrics	2016	2017
Yield on Loans	13.8%	12.2%
Cost of Funds	3.0%	2.6%
NIM	9.9%	9.2%
Yield on Government Sec.	10.0%	8.5%
NFI to Total Income	30%	28%

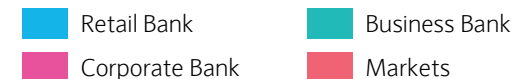
Functional Income Contribution

2016

2017



Corporate Bank gained a 4% revenue contribution on a YOY basis



Income (Cont'd)

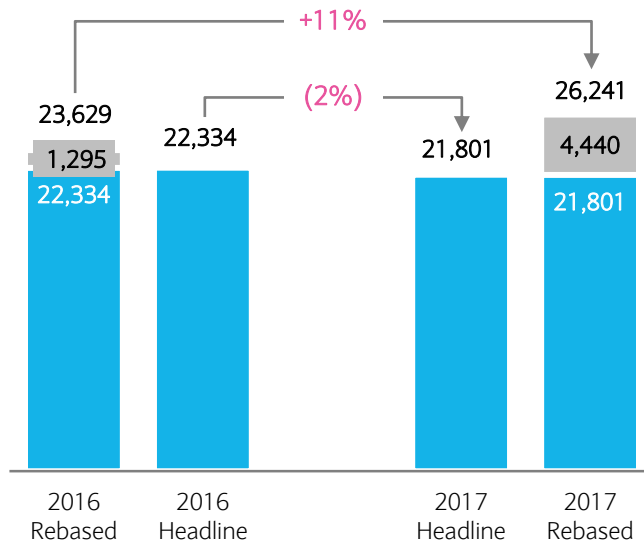
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Net Interest Income driven by balance sheet growth but impacted by interest rate cap

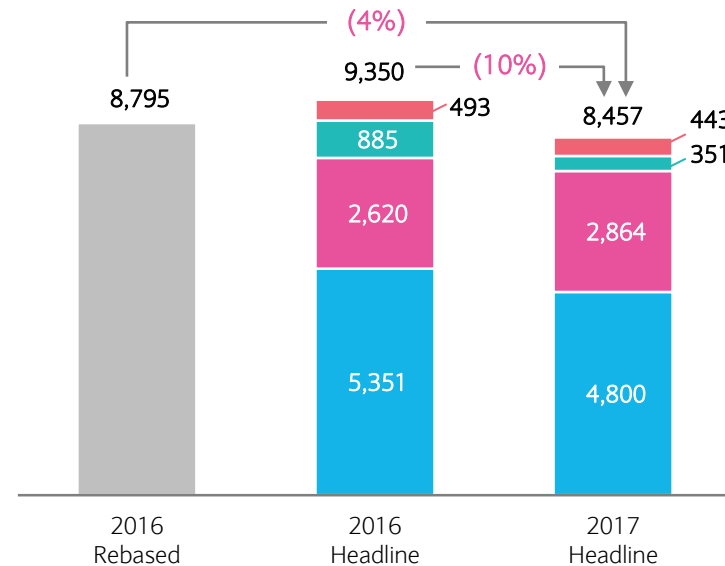
(In KES Millions unless stated otherwise)



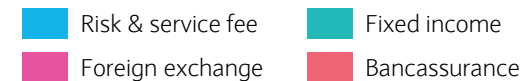
Underlying YOY growth of 11% driven by balance sheet growth

Change in accounting treatment contributing to YOY Non Interest Income drop

(In KES Millions unless stated otherwise)



Underlying YOY performance down 4% driven by lower MTM gains



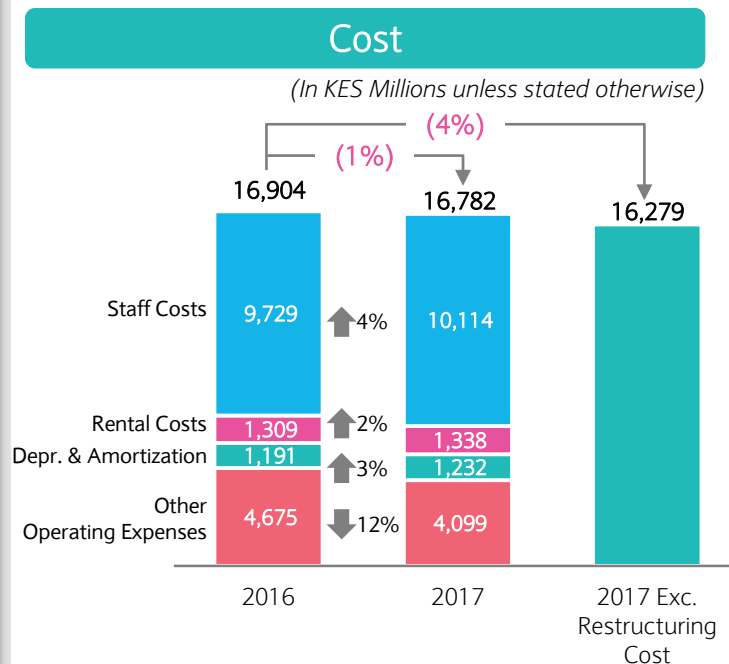
Interest rate caps impact

We have continued to invest for future growth whilst driving efficiency

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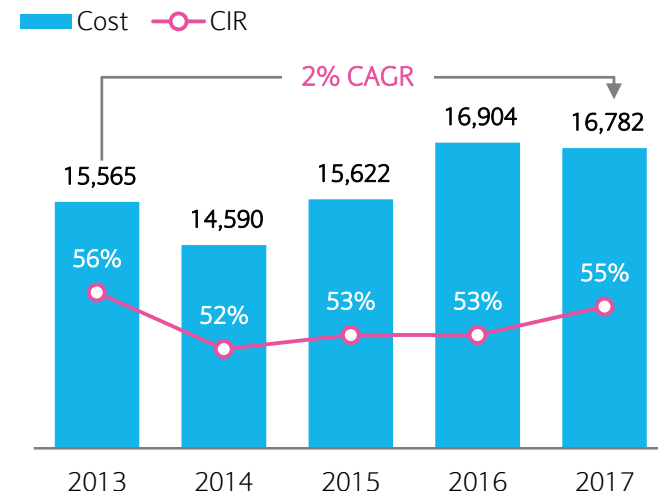


Benefits coming from:

- ❖ Investments in technology
 - E-statement
 - Paperless banking
- ❖ Other alternate channels
 - Agency Banking
- ❖ Process automation
- ❖ Customer centric channels
 - Intelligent ATMs
 - Internet banking
 - Mobile banking
- ❖ Branch optimization
- ❖ Optimum people structures: 12% drop in FTE

2013-2017 Cost Trajectory

(In KES Millions unless stated otherwise)



- ❖ 2% CAGR despite inflation and heavy investments over the period
- ❖ When adjusted for interest rate caps on income, our CIR stands at 48%

Continued investments in alternate channels driving efficiency and better customer experience...

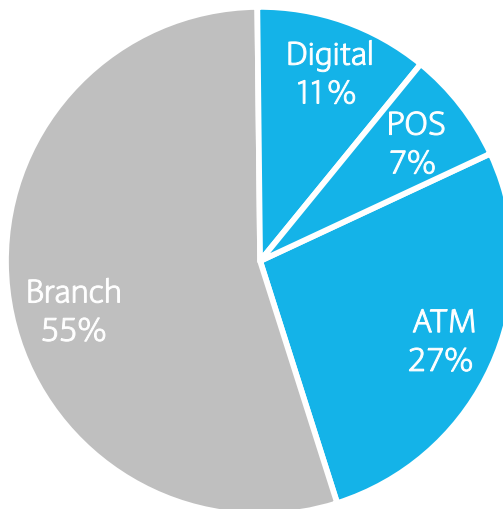
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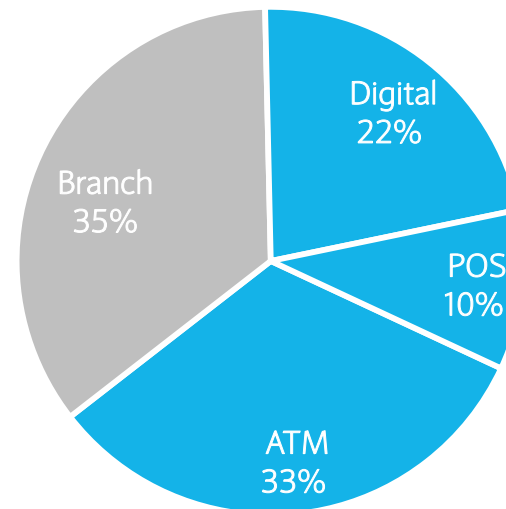
Alternate Channels Usage 2016



45% of all transactions

2,591 FTE

Alternate Channels Usage 2017



65% of all transactions

2,268 FTE

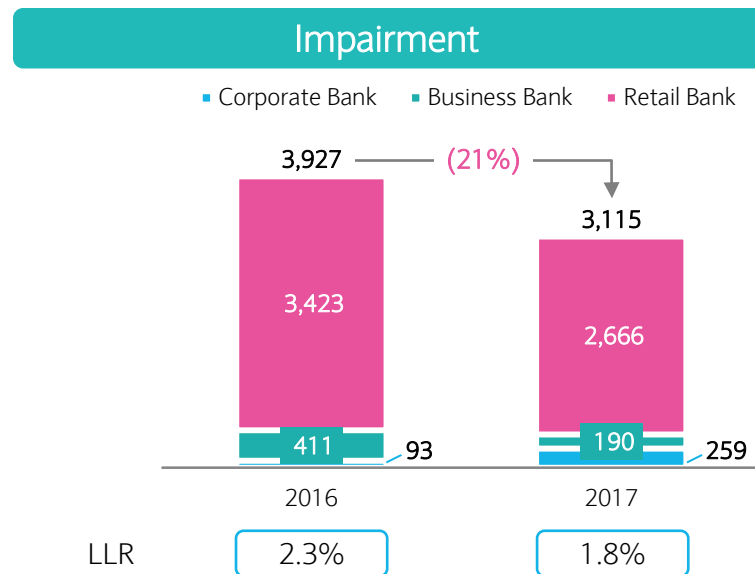
Impairment: Well managed through improved collection performance

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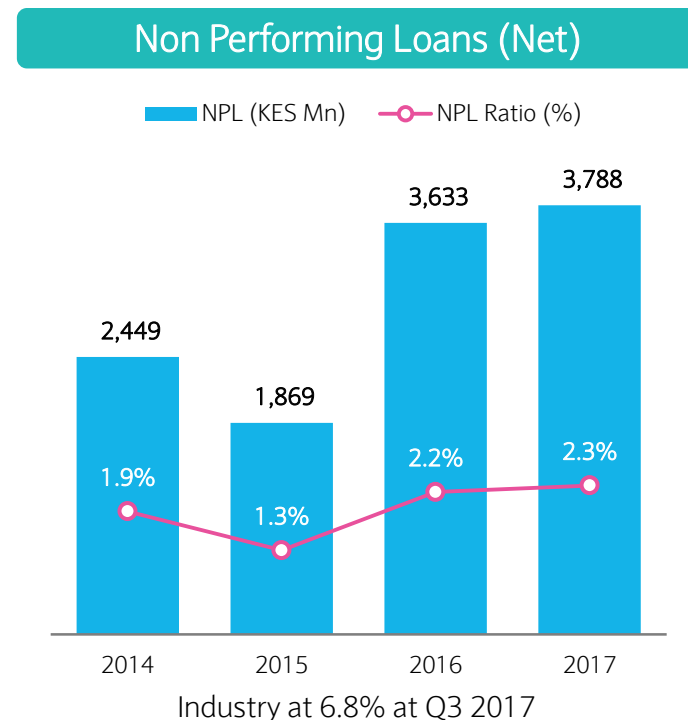


2017 Performance

- ❖ Significant improvement in 2017 impairment, especially Retail Bank, following efforts on Collections & Recoveries front, and much better performance of the new bookings.

2018 Way Forward

- ❖ We are committed to continue investing in people, systems and processes to sustain the momentum going forward.



- ❖ BBK had zero statutory loan loss reserve as at December 2017 indicating that impairment numbers reported were higher than the CBK requirements due to the bank's prudent impairment approach.

Muted growth on loans and advances as we tactically position our book. Surplus funds directed to Government Securities

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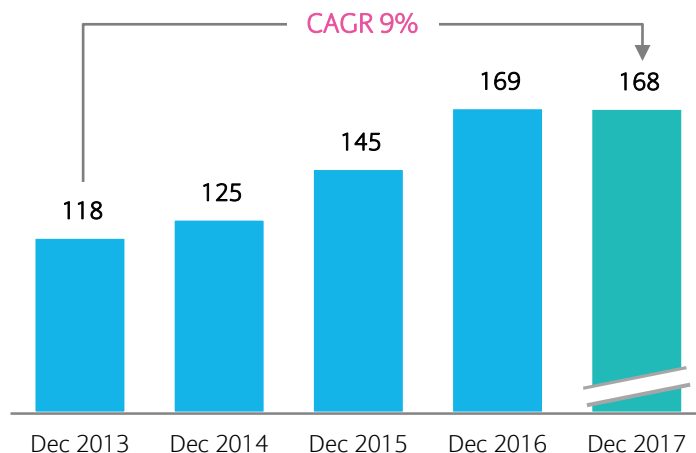
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Net Loans & Advances to Customers

(In KES Billions unless stated otherwise)

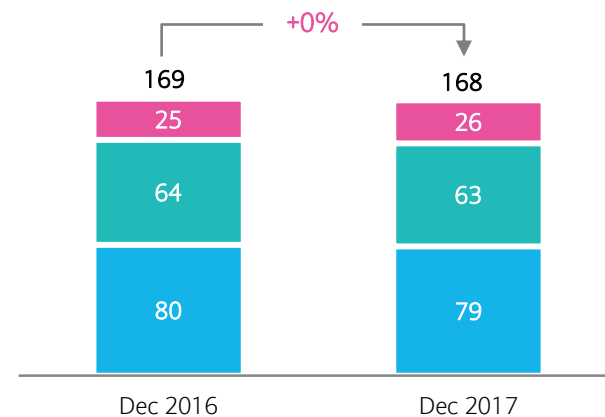


- LDR of 91% (2016: 95%)
- Government Securities increased by 21% on a YOY basis

Loans by Segment

(In KES Billions unless stated otherwise)

■ Corporate Bank ■ Business Bank ■ Retail Bank



FCY Proportion 23% 26%

Yield on Loans 13.8% 12.2%

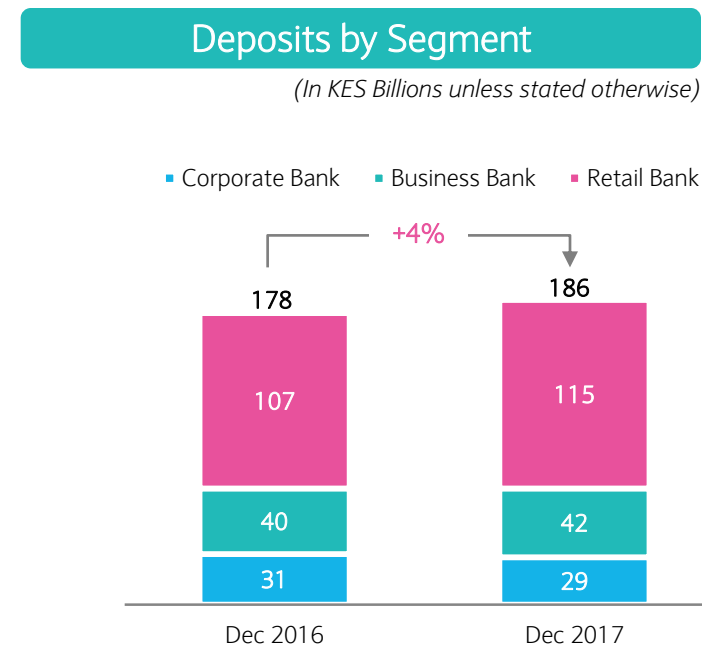
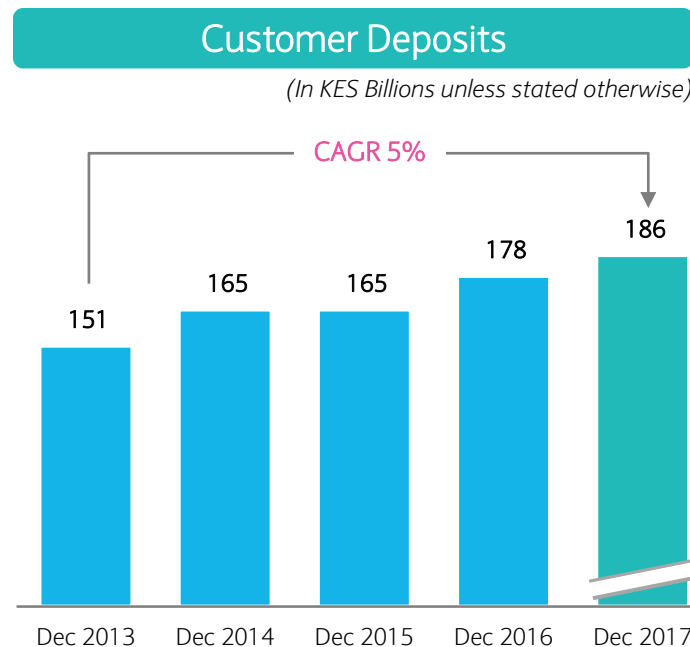
Increased deposit mobilization in Retail and Business Banking Business

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Cost of Funds

3.0%

2.6%

Transactional
A/C (%)

68%

68%

Capital ratios: Strong capital to support future growth... Combined with adequate capital structure...

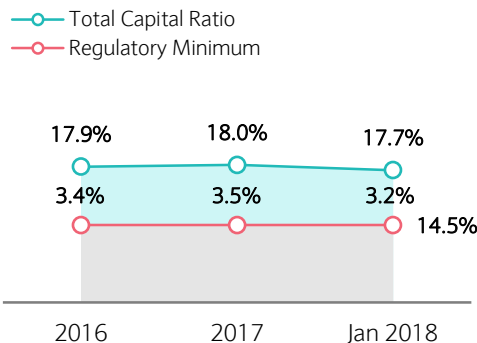
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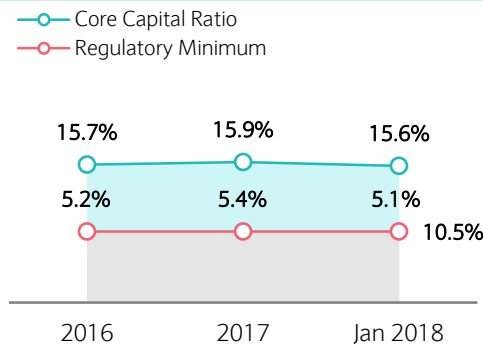
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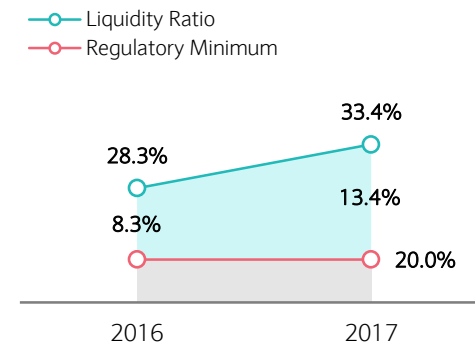
Total Capital Ratio



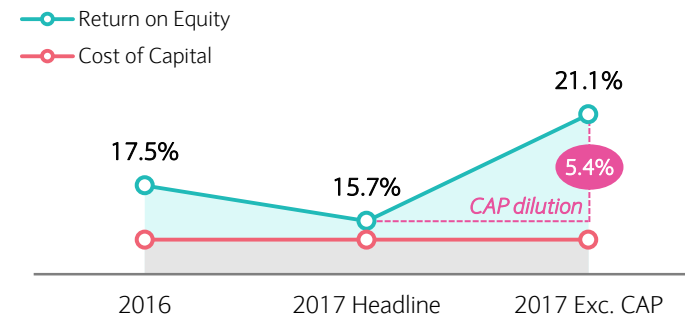
Core Capital Ratio



Liquidity Ratio



ROE



- Capital ratios will be a focus area going forward as this will be impacted by IFRS 9 Day-1 Impact.
- The regulator has already issued guidance to have this impact phased out over a 5-year period.

Dividends per share maintained at KES 1.0 per share

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Dividends	2016	2017
Interim Dividend per share (KES)	0.2	0.2
Final Dividend per share (KES)	0.8	0.8
Total Dividend per share (KES)	1.0	1.0
Total Dividends (KES Mn)	5,432	5,432

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Growth

Transformation

Returns

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03.1. The Strategic Foundation

Moses Muthui – Head of Strategy



Growth

Transformation

Returns

Our strategy formulation process was based on 4 simple but fundamental principles

01 Fact-Based

- ❖ McKinsey & Company economic analysis
- ❖ Internal analysis
- ❖ Data-driven decision making
- ❖ Analytical rigour



02 Collaborative

- ❖ Customers
- ❖ Colleagues
- ❖ Barclays Africa Group Limited
- ❖ Board
- ❖ Regulators



03 Bold

- ❖ Material
- ❖ Dial mover
- ❖ Transformative
- ❖ Bottom-up, unconstrained



04 Localised

PRE-Barclays Plc Exit

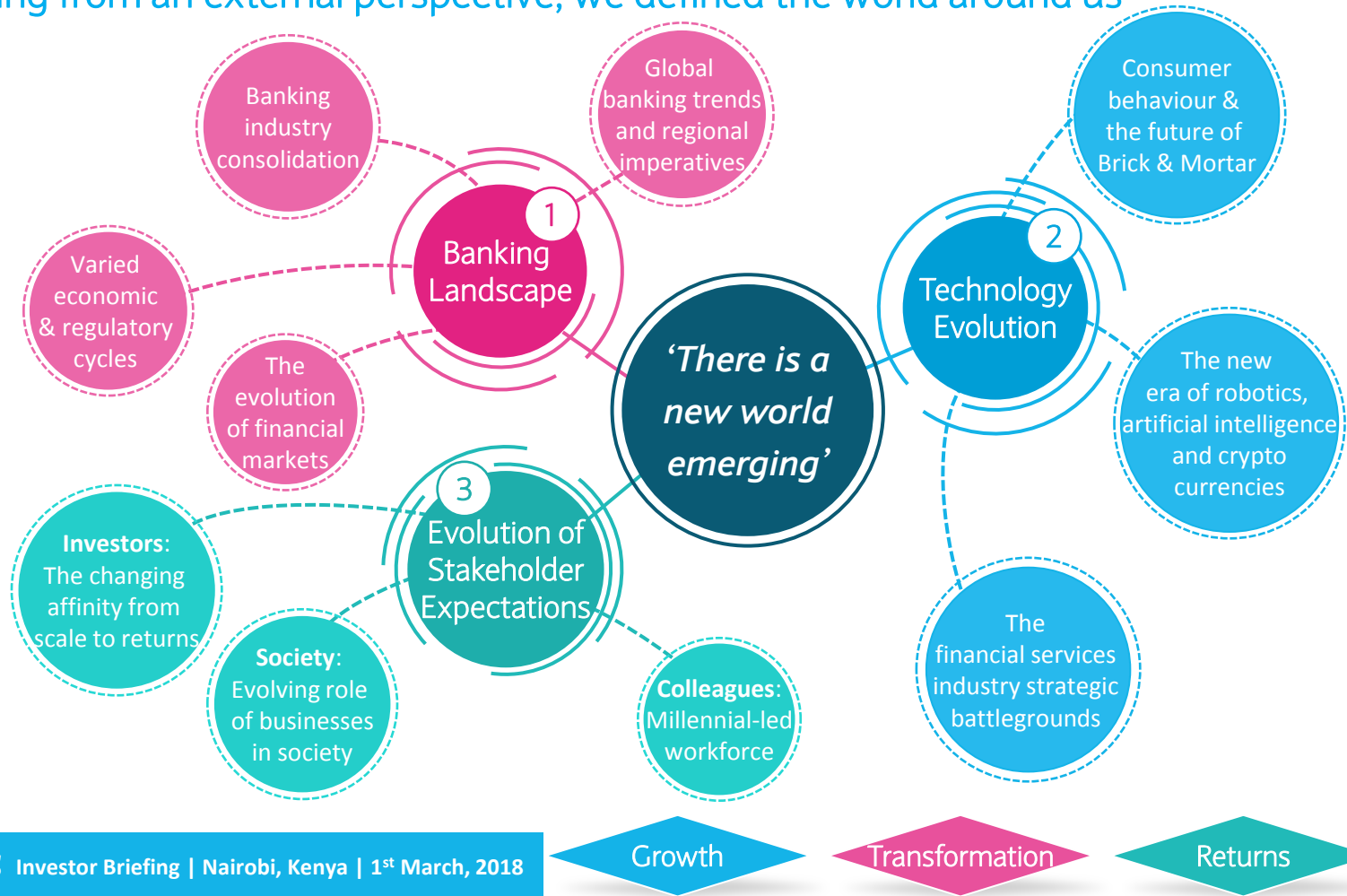
- ❖ Conservative risk appetite
- ❖ Global centralization
- ❖ Global compliance vs. local competitiveness

POST-Barclays Plc Exit

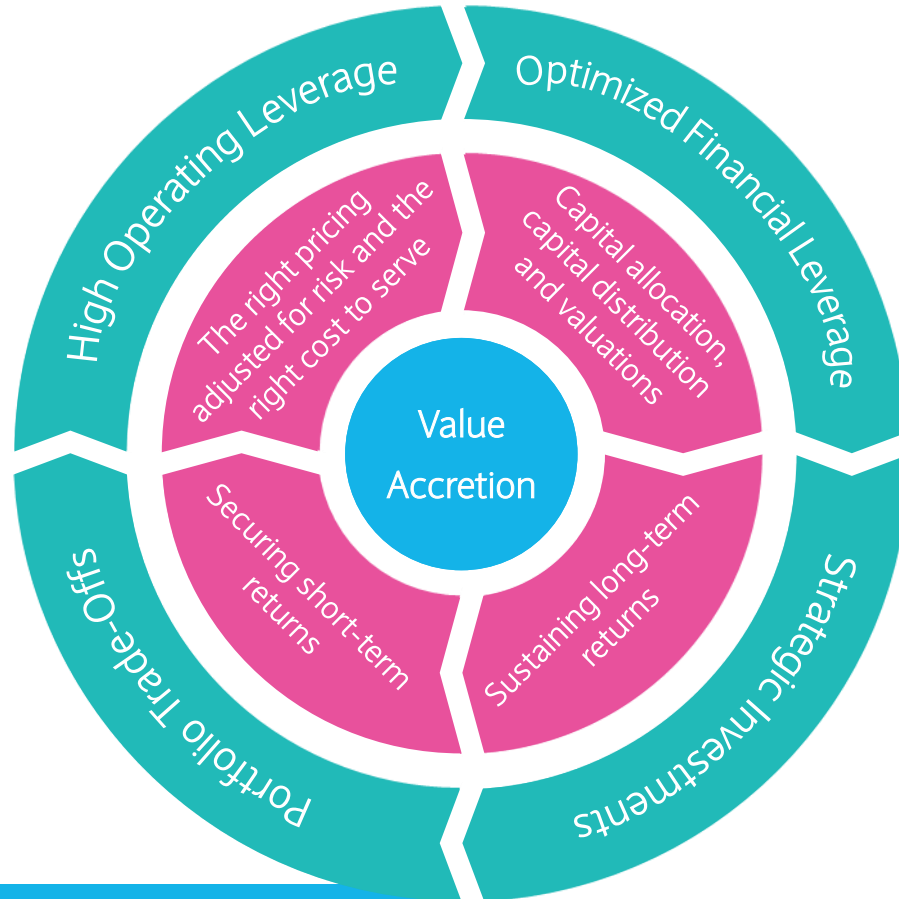
- ❖ Local-only constraints
- ❖ Under regional and global context



Looking from an external perspective, we defined the world around us



Looking from an internal perspective, we designed the strategy in the context of our shareholder value accretion



Growth

Transformation

Returns



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03.2. Strategy 2022

Jeremy Awori – Managing Director and CEO



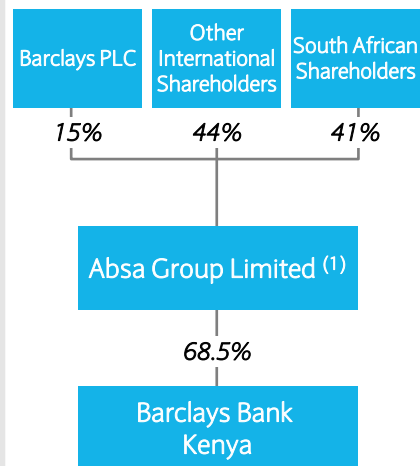
Growth

Transformation

Returns

A new dawn is upon us... Introducing you to Absa Group Limited

Shareholding



- More diverse shareholding
- New Risk-Return profile
- International appeal

Strengths⁽²⁾

\$98.5Bn Assets (KES 10Trillion)

\$18.0Bn Liquidity Assets (31% customer deposits)

16.4% ROE

\$1.92Bn PBT (KES 195Bn)

\$6.15Bn Revenue (KES 624Bn)

Solid business

Scale

- ❖ Africa **3rd largest** bank
- ❖ **10,013** ATMs
- ❖ **1,207** branches
- ❖ **41,241** people
- ❖ **10 countries & 2** representative offices
- ❖ Business operations: Retail Bank, Business Bank, Wealth Management, Insurance, Corporate Bank, Investment Bank, International Business

Truly Pan-African bank with international reach

The case for a new brand and new strategy

1

Rename the listed entity from Barclays Africa Group Limited to Absa Group Limited, subject to approval

2

Choose Absa as our brand across all markets once regulatory approvals are obtained

3

The case for a single brand

- ❖ 'One Africa' strategy
- ❖ Unified, independent Group
- ❖ Economies of scale
- ❖ Single face to global market

1 GOAL

Our goal is to double our share of revenue in Africa & become a banking group Africa will be proud of.

3 PRIORITIES

- | | | |
|----------------------------------|--|--------------------------------------|
| 1. Build a thriving organization | 2. Restore leadership in our core businesses | 3. Build pioneering new propositions |
|----------------------------------|--|--------------------------------------|

3 ENABLING CAPABILITIES

- | | | |
|--|-----------------------------------|--------------------------------|
| 1. Build a scalable digitally-led business | 2. Play a shaping role in society | 3. Pursue growth opportunities |
|--|-----------------------------------|--------------------------------|

1 MEASURE OF SUCCESS

Growth of our business ahead of market

What we will stand for

A thriving organization through:

1

Unleashing the entrepreneurial zeal...

2

License to the Agile minds, innovators and free thinkers....

3

*Re-igniting our passion to serve our customers.
In fact, we will be obsessed about it...*



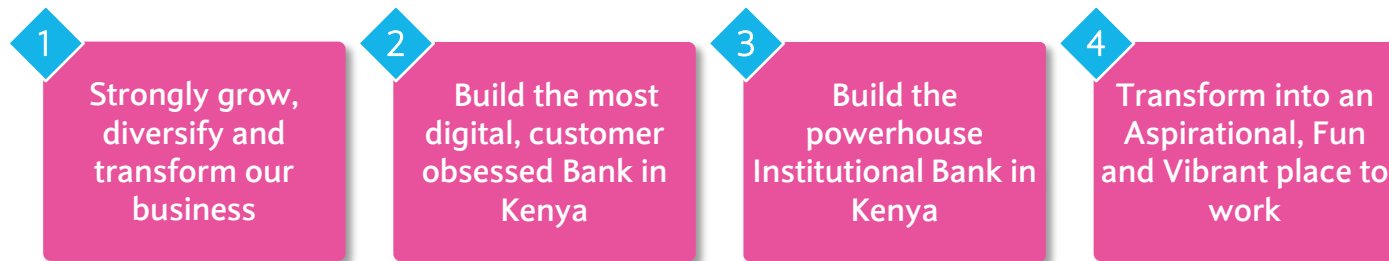
Growth

Transformation

Returns

Our Strategy 2022....

We have set 4 strategic goals, to:



Underpinned by 4 enablers:



To deliver our purpose: **To bring your possibility to life**



We have defined our core strategic challenges and responses



We have made explicit choices and trade-offs

We choose...

1

Returns
+
Growth



2

Agile
operating
model that
puts us closer
to our
customers



3

Customer
obsession and
digitization



4

Autonomy
and
accountability



5

Culture based
on
eco-systems



6

Active force
for good in
society



Instead of...

Growth only

Relying on our
traditional
strengths and
structures

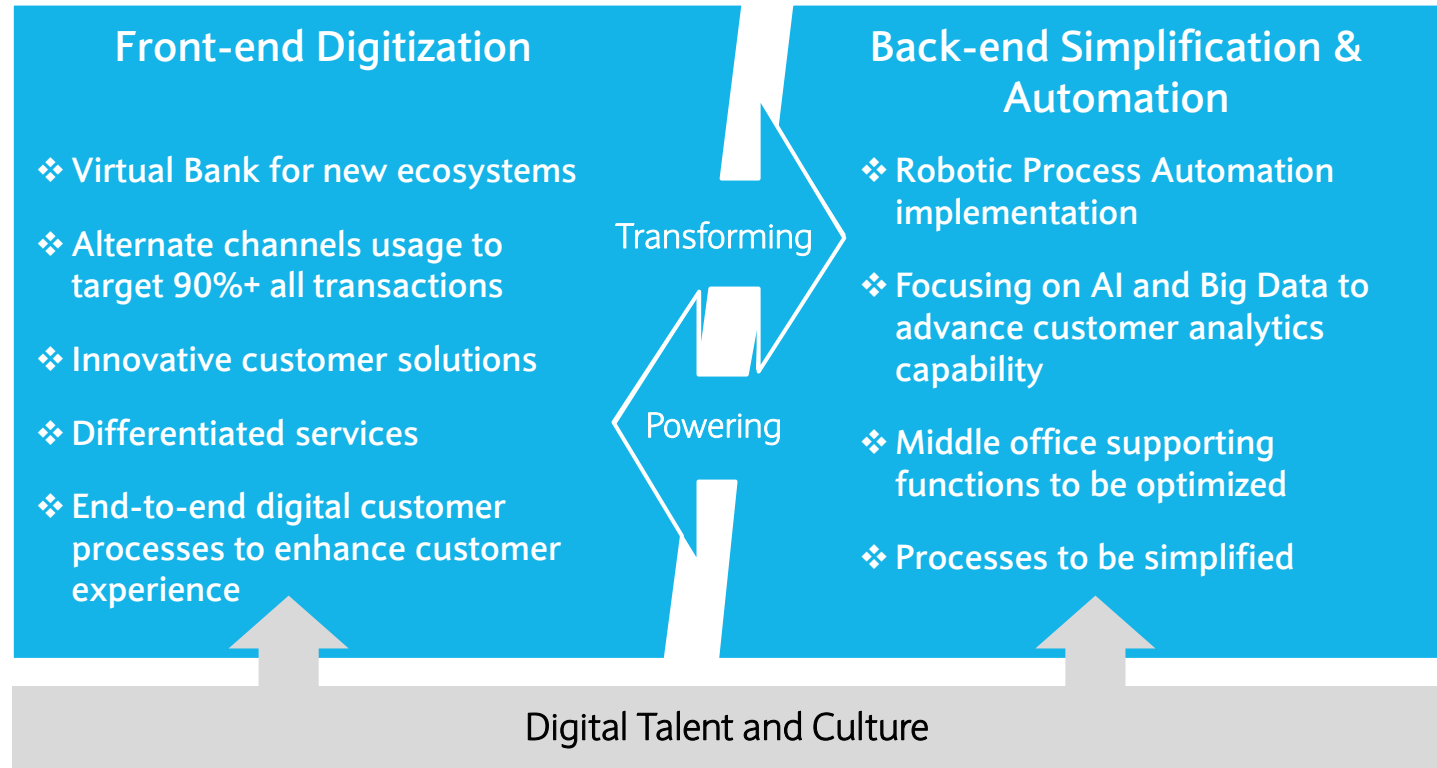
Digitization
only

Command and
control

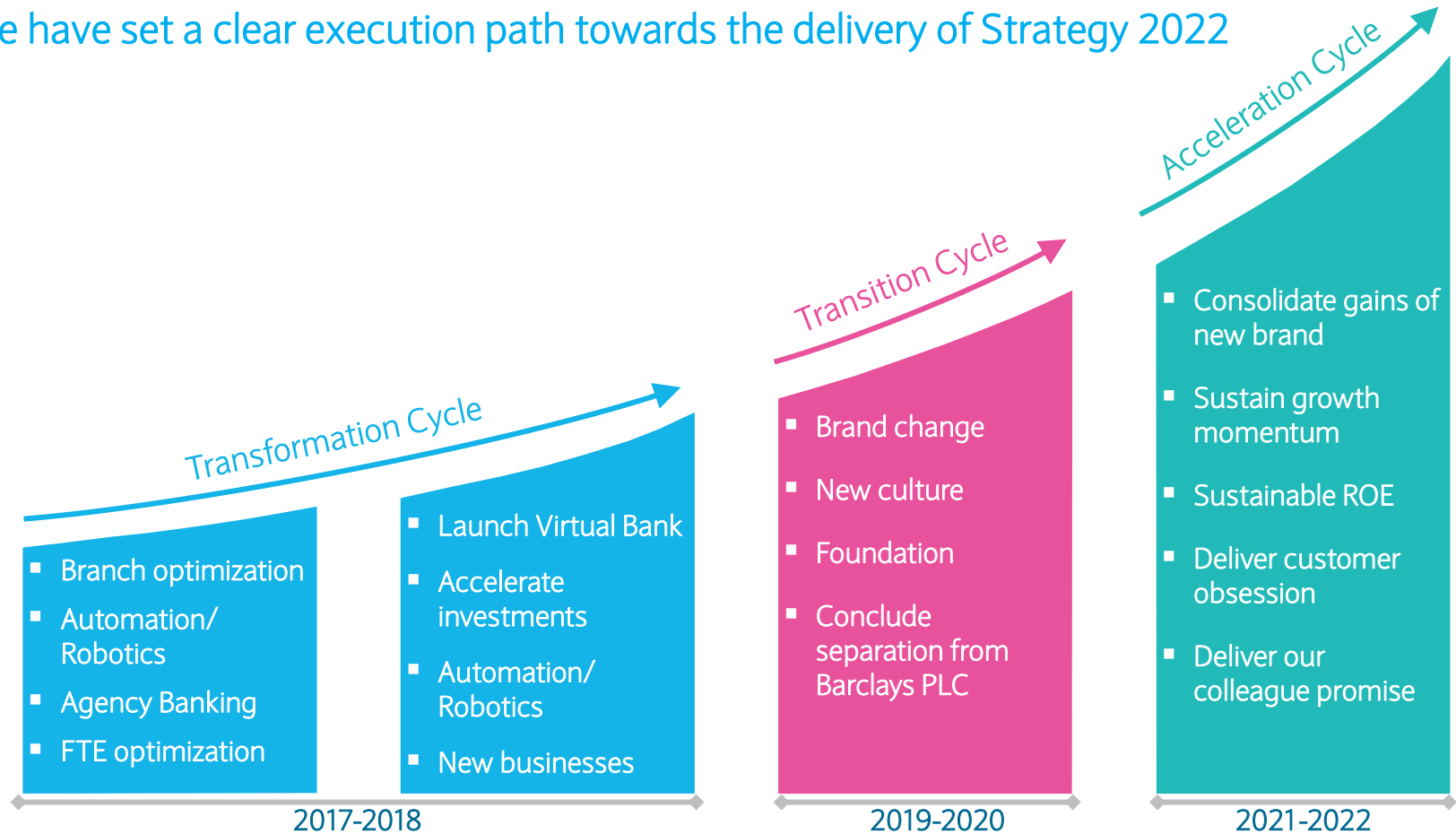
Traditional
corporate
culture

Passive
corporate
citizen

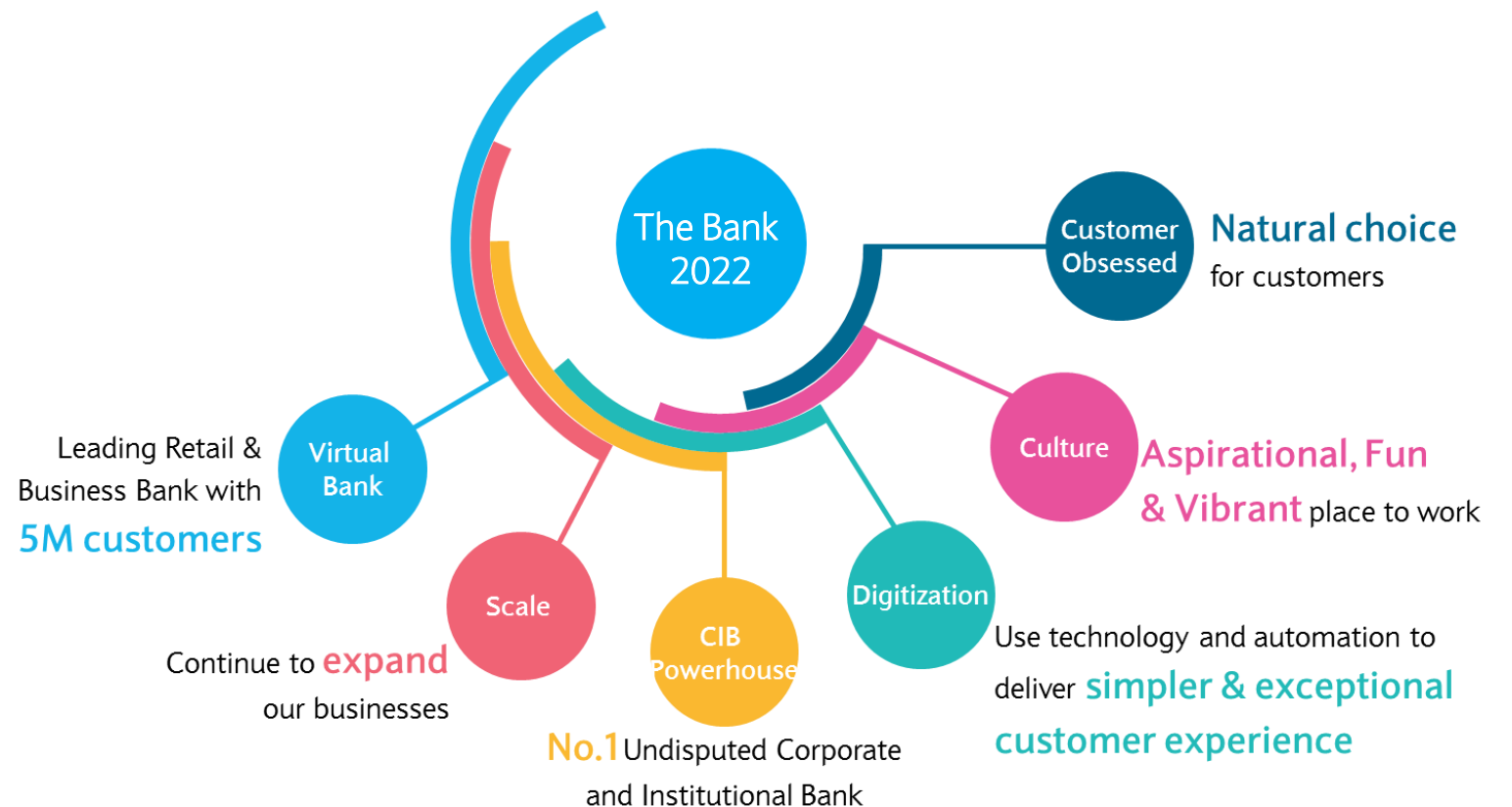
We have designed an end to end digital transformation strategy



We have set a clear execution path towards the delivery of Strategy 2022



Our Strategy 2022 delivers: Growth, Transformation & Returns



The background of the slide is a collage of various images. It includes portraits of diverse people, some smiling, some in professional settings. There are also images of yellow dump trucks on a construction site, a person playing a traditional stringed instrument, and a group of people smiling together. The collage is set against a blue gradient background that curves upwards from the bottom left.

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APPENDICES

Growth

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Our strategic responses have resulted into a resilient performance path for 2017

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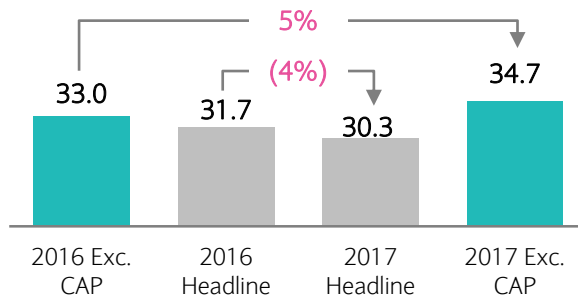
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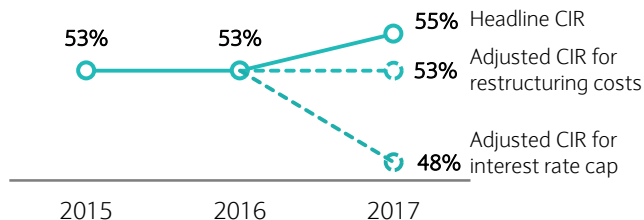
1 High single digit income growth adjusted for interest rate cap

Barclays Kenya Revenue (KES Bn)

↓4% Headline, ↑5% Adjusted



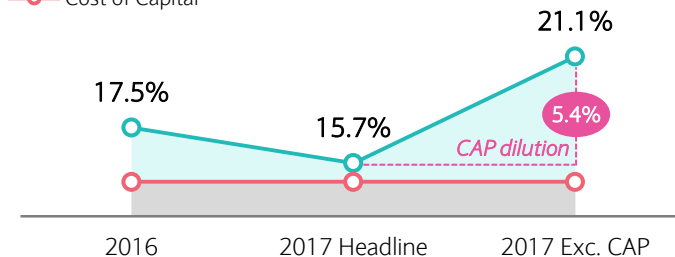
2 Sequentially reduced CIR to sub-50% on adjusted basis



3 Value accretive returns adjusted for interest rate cap

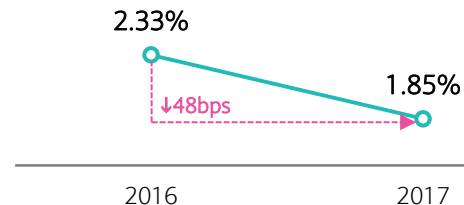
Return on Equity

Cost of Capital



4 Prudent management of credit losses

Loan Loss Ratio



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Profitability and efficiency ratios

	FY 2016	FY 2017
Yield on Loan	13.8%	12.2%
Cost of Funds	3.0%	2.6%
Interest Spread	10.8%	9.6%
CIR	53%	55%
LDR	95%	91%
ROE	17.5%	15.7%
NFI to Total Income	30%	28%

Risk ratios

NPL Ratio (Net)	2.2%	2.3%
Coverage Ratio	68%	70%
Loan Loss Ratio	2.3%	1.8%

Trading ratios

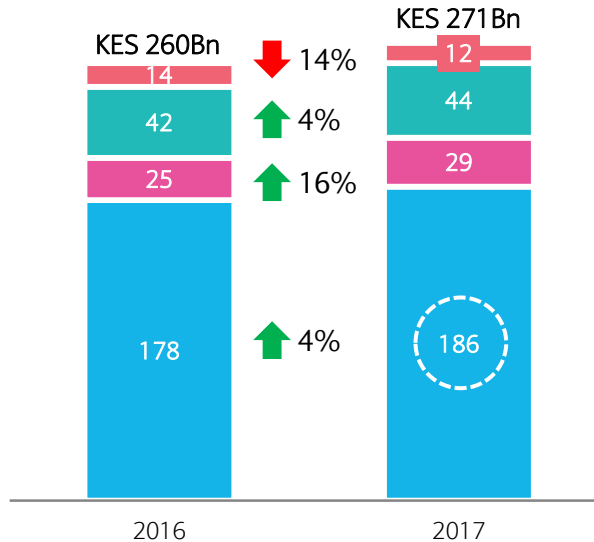
P/E	6.68	7.53
P/B	1.17x	1.18x

While lending is flat year on year, we have directed surplus funds to Government Securities

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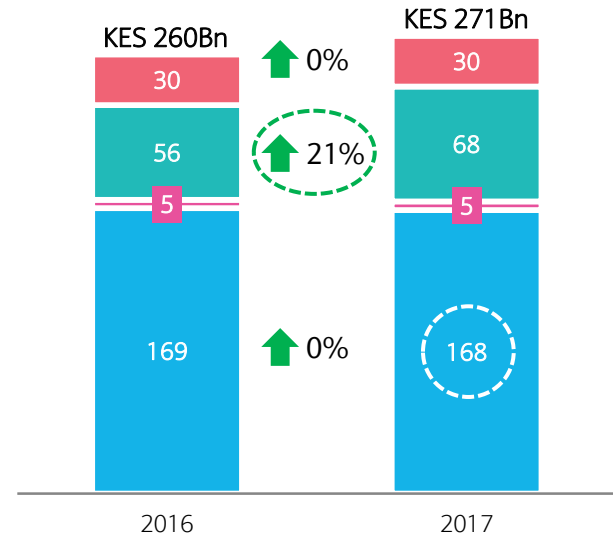
Source of funds

- Customer Deposits
- Shareholders' Funds
- Group Balances
- Others



Use of funds

- Loans & Advances
- Government Securities
- Cash Balances
- Others



- Government Securities increased by 21% on a YOY basis
- Customer Assets were well funded through Customer Liabilities

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Abbreviations

BAGL	Barclays Africa Group Limited
BBK	Barclays Bank of Kenya
CAGR	Compound Annual Growth Rate
CBK	Central Bank of Kenya
CIR	Cost-to-Income Ratio
FTE	Full Time Employee
LDR	Loan to Deposit Ratio
LLR	Loan Loss Ratio
NFI	Non Funded Income

Abbreviations

NII	Net Interest Income
NIM	Net Interest Margin
NPL	Non Performing Loans
PBT	Profit Before Tax
P/B	Price-to-Book Ratio
P/E	Price-to-Earnings Ratio
ROE	Return On Equity
RWA	Risk Weighted Assets
YOY	Year on Year

KES	Kenyan Shilling
ZAR	South African Rand
USD (\$)	United States Dollar

Disclaimer

Forward-looking statements

Certain statements in this document are forward looking that relate to, among other things, the plans, objectives, goals, strategies, future operations and performance of Barclays Bank of Kenya. Words such as “anticipates”, “estimates”, “expects”, “projects”, “believes”, “intends”, “plans”, “may”, “will” and “should” and similar expressions are typically indicative of a forward-looking statement. These statements are not guarantees of Barclays Bank of Kenya future operating, financial or other results and involve certain risks, uncertainties and assumptions.

Accordingly, actual results and outcomes may differ materially from these expressed or implied by such statements. Barclays Bank of Kenya makes no representation or warranty, express or implied, that the operating, financial or other results anticipated by such forward-looking statements will be achieved and such forward-looking statements represent, in each case, only one of many possible scenarios and should not be viewed as the most likely or standard scenario.

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Growth

Transformation

Returns